Goldman Sachs Talks

Stephen Schwarzman, Blackstone CEO and Author of *What It Takes*

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David Solomon: Welcome to Talks at GS. I'm honored to be joined by my friend Steve Schwarzman, who is the chairman and CEO and the co-founder of Blackstone. He founded the firm as most of you know with Pete Peterson back in 1985 with $400,000. And he's turned it today into certainly the leading, you know, no hold barred alternative asset manager, but one of the leading asset managers in the world with $550 billion of assets under management.

You've written about your storied career in a book that I recently read and really enjoyed. *What It Takes: Lessons in the Pursuit of Excellence*. And so, let's start by just welcoming Steve and thanking you for being here.

Stephen Schwarzman: Right.

David Solomon: So, I want to start because I've learned some things about you in the book that I didn't know. I didn't know about Schwarzman's Curtains and Linens. And

so, I want to go back to the beginning where you start the book, growing up in the suburbs of Philadelphia. Your father ran a family business, Schwarzman's Curtains and Linens. And you started working there at ten years old for ten cents an hour.

And in a preview of your future life, and this was a very poignant story at the beginning of the book, you talk about how you went to your father and proposed that he expand the business. So, talk a little bit about that story and how that conversation went and how that shaped you a little bit.

Stephen Schwarzman: Yeah, I actually asked my grandfather for an increase to 25 cents, and he said, "Stephen, you're not worth ten." So, I guess the Schwarzmans sort of have a certain objectivity. And the store looked like sort of Bed, Bath, and Beyond, except there was no Bed, Bath, and Beyond. And I'd watch all these customers, I said, this is like a good thing.

So, I went to my dad, probably when I was somewhere around 13. And I said, "Hey, dad, a lot of people in this store. And why don't we take this store all over the

country?" And I thought it was like a no-brainer. And he looked at me and he said, "Steve, I don't want to do that." And I'm trying to figure out why he didn't want to do that.

So, then I decided tactically maybe I should retreat to just Pennsylvania. So, I said, "Dad, if you don't want to do that, let's just open them all over Pennsylvania." He said, "I don't want to do that." I said, okay, figuring maybe he doesn't want to travel. So, I said, "Let's just open--."

David Solomon: How about a few more in Philadelphia?

Stephen Schwarzman: Six or seven stores around Philadelphia. And he said, "I don't want to do that." And I said, "Dad, why don't you want to do that?" And he said, "Because I'm happy the way I am. I have two cars. I have a house. I have enough money to send you and your brothers to college. That's really all I want." And I couldn't, like, take that on board. Why would that be all you want? But it was. He was a lovely person. And super smart.

So, it was hard for me to imagine how a smart person would want to do that. Because it was just right there. Right? Bed, Bath, and Beyond showed that. It was right

there.

But I learned that not everybody's the same. Not everybody likes to change what they do. Most people are quite happy just being in whatever space they're in. Even if they grumble about it a bit, they don't really have the gumption to go out and change.

So, I always loved my dad. Didn't love him any less after that, interestingly. But I realized I was just, like, different than he was.

David Solomon: You were different. Another story I liked in the book, obviously, I won't have time for all of them. But this one was one that was great. You were applying to colleges, and you got into Yale. And you were waitlisted at Harvard. And so, you basically picked up the phone and you went right after the admissions director at Harvard. And tell that story.

Stephen Schwarzman: That was pretty scary. They didn't have cell phones then, right? And devices of almost any kind. So, to make a phone call you had quarters in your pockets, and they had pay phones. So, the only pay

phone I had availability to was at the gym in my high school. So, I got the number from information for Harvard admissions.

So, I called, and I said dean, whatever his name was. And, you know, was the head of admissions. And they put me through. So, he picks up the phone and I said, you know, "Dean So and So, my name's Steve Schwarzman from Abington, Pennsylvania. I'm on the wait list. And it would really be terrific if you would admit me."

So, he says, "How did you get my number?" I said, "I don't know. It's just in the phone book, right?" He said, "But nobody's allowed to talk to me who's an applicant. I don't talk to applicants." I said, "Well, apparently that's not true. I mean, you're talking to me. And, you know," I said, "I think I'd be a real asset for Harvard." And he said, "I'm sure you would. But unfortunately, we're not taking any one from the waiting list. Our yield is higher than we thought. So, where else have you gotten in?" I said, "I got into Yale." He said, "Well, that's a lovely place. I'm sure you'll have a very good time."

I said, "I'm sure I'll have a good time too. But that's not

why I was calling." And I said, "I think it's really going to be in your interest to take me." He said, "Why is that?" I said, "I think I'm going to be very successful and that would be good for Harvard." So, he said, "That would be good for Harvard. But I don't have any flexibility." And meanwhile the sweat is pouring off of me. This is, like, dialing God, the dean of admissions at Harvard, are you kidding me?

And, you know, I hung up the phone. And I'm, like, looking at myself. I'm soaking wet. And I failed. And I went to Yale. And he was right. I had a lovely experience.

And so, actually, funny thing happened probably 25 - 30 years later--

David Solomon: He called you.

Stephen Schwarzman: No. What happened is that one of the members of the Harvard Corporation was in who does some work for us at Blackstone. And, you know, I told him this story. He said, "Well, was that Dean So and So?" I said, "Yeah, it's my memory." And he said, "Well, he's a really great friend of mine. Would you mind if I told him this story?" And I said, "No, no, tell him the story."

So, three weeks later I get a letter in the mail from the former dean of Harvard admissions. And it says, Dear Mr. Schwarzman, you know, my friend so and so talked to me about your situation. And he said, I remember getting your phone call in 1965 because I never got a phone call like that before or since. And regrettably I've been following your career in the press. And every time you do some other amazing thing, I keep saying, "I completely blew it." So, he said, you have my apology.

He said the problem when you're in my kind of position is you never know with a young person which one's going to really work out or not. And, you know, he said it was Yale's gain because I had given Yale a lot of money and hadn't done it to Harvard. So, you know, so, that was that story. It's a funny story at the end of your life. I can assure you when you're 17, this was not a funny story.

David Solomon: So, after college you landed your first job at DLJ. Then went on to serve in the Reserves during the Vietnam War. And then after serving, you did make your way to Harvard because you went to Harvard Business School. Which you initially hated. So, talk a little bit about

what cemented the fact that you wanted to go into finance. What was the moment you said I'm going in that direction?

Stephen Schwarzman: I'm very bad at math. So, it wasn't a normal thing. I joined DLJ. I was untrained. This was another thing. Goldman's been a leader at this. We've tried to copy some of the stuff that's been successful in training. When I joined Lehman, we had no training.

David Solomon: You just started.

Stephen Schwarzman: You just got a desk. They probably had that at Bear Stearns. You had a desk. You didn't know much. You tried not to blow yourself up.

And so, I had no training and all I did at DLJ was try and have no one give me an assignment. I must have used more deodorant than anyone in New York. I was so nervous all the time. I didn't even know what a stock was. Okay?

So, I went to business school, and I learned that stuff. And I interviewed with two types of organizations. Financial companies, because I was at one. And advertising companies, because I thought that would be interesting. I

was rejected at Goldman. And you can probably tell why. You know? But--

David Solomon: By the way, I got rejected at Goldman when I interviewed. Twice.

Stephen Schwarzman: You got rejected twice.

David Solomon: Yeah.

Stephen Schwarzman: I was smart enough to only apply once.

David Solomon: I applied a third time.

Stephen Schwarzman: And you got it. But I knew they really didn't want me. Anyhow. So, you know, I got 17 at Lehman. I went into finance. I didn't even know what I was doing because I'm not a natural, you know, for filling out spreadsheets and doing that kind of precision work. But I could always see patterns.

And my first job interview at college, after, when it was just the interview process to get a job after college, somebody

interviewed me, I forget which company. And they said, "What do you want to be?" And I said, "I want to be a telephone switchboard." Which apparently put the man off. And he said, "What are you talking about?" I said, "I want all these feeds of things that exist in the world. And I want them to come in. I want to whirl them around. And I want them to go out differently than they came in." I said, "That's what I want to be." The guy says, "You're not for us."

Now that I'm older I realize, you know, that was a little bit of an unconventional thing.

David Solomon: Unconventional answer. But it actually is a pretty good answer.

Stephen Schwarzman: I thought people were transparent. I didn't know. Right? That they sort of have shields. I'm pretty transparent as you can see.

David Solomon: So, you joined Lehman Brothers, and your career gets off and going. But I think, obviously, one of the most pivotal relationships that became hugely important to the direction of your career, the establishment of Blackstone was in your second year at Lehman, Pete

Peterson became chairman and CEO, and you developed a real bond with him.

Stephen Schwarzman: Yeah, it was very interesting. Pete was 21 years older than me. He was an accidental CEO of the firm. The firm got in trouble and the old partners, I call them like the dukes, they all hated each other. Didn't trust each other. So, they figured they'd take the new guy who was just hired who didn't know anything about finance and make him the head of it. And then they would control him.

David Solomon: Didn't quite work that way.

Stephen Schwarzman: That was not a good assumption. So, they didn't end up controlling him. But he knew nothing about finance. And so, I was a second-year associate. The firm had been in trouble. So, Pete went around with a guy named George Ball who was deputy Secretary of State, joined Lehman to find money to save the firm. To give you some idea of how midget sized Goldman, Lehman, and Morgan was, in 1972, $7 million of capital saved Lehman Brothers.

So, Pete sent a note out to everybody. This is why Lehman was so different than Goldman. Imagine this. He sent a note out to everybody, all the partners and associates saying, "Okay, we've sort of had a mess. Now, what strategic plan should we have to run the firm?" And at Goldman you would have gotten a lot of responses from a lot of responsible, very smart people. At Lehman, nobody responded to the CEO except me because I didn't get the word that that was politically incorrect.

So, I wrote him a strategic plan. It was sort of big corporate finance business, big money management business. Whatever. So, he called me down because he was lonely. Nobody went down to see him.

So, I went down. He said, "Oh, you seem like a very smart young man. Blah, blah, blah. Tell me about your plan." So, you know, I danced my way through the plan. And then he said, "That's great." He said, "We should work together." And I said, "That is a very, very bad idea." And he said, "Why is that a bad idea?" I said, "I heard you don't know anything. And as a result, you ask for regular assignment about five times more stuff than you need because you're trying to figure out what you're doing." I said, "I am a

second-year associate. I don't know what I'm doing. So, why would the two of us work together?" I said, "Why don't we wait until at least I learn what I'm doing? And hopefully, you'll learn what you're doing. And I will give you a call when I've learned. And I'd be glad to work together. I'm just not capable of doing that now productively."

So, he's sort of like--

David Solomon: Who is this kid?

Stephen Schwarzman: Right. Who is this person? So, I left. And about two or three years later I called him, and I said, "I'm ready." I said, "I heard you were only asking two to three times as much information as you actually need. So, you've made improvements. And I'm ready to go." And we started working together.

And, you know, I became one of the youngest partners at the firm. So, you know, it was a great time. And he was a guy who was very smart. Summa cum laude process thinking. I was quicker.

David Solomon: And you were a producer.

Stephen Schwarzman: Oh yes.

David Solomon: There were a number of big deals that when you were younger, and this is even when I started which was ten, 15 years later, if you produced, and by the way, producing was a very independent thing because in those days it was kind of open field. You built your own relationships. You turned it into an opportunity. You were a producer and that's how the world worked.

Stephen Schwarzman: I was very productive. So, the two of us, he had been Secretary of Commerce and also President Nixon's Economic Advisor. Kissinger was the International Advisor in the White House. And so, Pete knew everybody. I knew nobody. I mean, I'm just a nice middle-class person for Philadelphia.

And so, he'd sort of turf them up and, you know, I'd skin them. And, you know, so we became like the Bobbsey twins. And we'd go to meetings, and he'd bring somebody in who was the head of a corporation. I'd figure out what we can do with them. And then, you know, we developed a really great relationship.

At the beginning, people, summas and magnas think differently. I call them process thinkers. So, they can think about anything, and they'll eventually come to a good resolution. But sometimes it takes so long for them that I can usually do the exact same thing but [SNAP] like, just know what it is. And so, Pete gave up after a few rehearsals on merger deals. He said, "Where are you going to open?" I said, "I don't know. I've got to look at them. You know? See if they-- you feel the situation." As you know.

And so, after a few of those he gave up. And, you know, I sort of did what I wanted. And he brought people in. And we always agreed on basically everything.

And so, you know, we worked at Lehman together until Lehman blew up. He was thrown out and somebody else was in. And then that guy, who had almost destroyed it in 1972 accomplished his objective of destroying it in 1984.

And I sold the business, I was like a 36-year-old guy, to American Express because this guy had destroyed 100 percent of the capital in the firm. And the way these firms die is they all do a lot of financing and repo. And when your

counterparty recognizes you have no equity, [SNAP] they pull the plug and the firm collapses. And meanwhile, the firm was making a fortune in corporate finance and its regular activities.

And Pete went off, you know, a year earlier and started some kind of small venture capital business. And I left a year after we sold it. So, it was two years later. And we just wanted to work together.

The only thing we forgot as entrepreneurs, and you'd appreciate that from the platform of Goldman, is there were no M&A boutiques. They didn't exist. So, we didn't even know that. We just thought it was Pete and Steve, we could do anything. Right? Because we did. We did this huge volume of M&A work and other things.

And so, we figured you put out your shingle, the same clients just give you work because you're so remarkable and wonderful and pleasant and funny. How can they not?

The answer is, they didn't. They were scared. I didn't know this. They were scared to give some no name firm, even though we were not no name people. We didn't understand

that. And, you know, we sent out like 500 letters and to people we knew. They weren't even strangers. And we got no business.

So, if you ever want to have the crap scared out of you, send out 500 letters and make pretend they weren't lost at the post office. And you sit around in your little crappy office of 3,000 square feet with no secretary. Pete had a secretary. He deserved a secretary. I answered the door for two years. You know? And we got nothing. And so--

David Solomon: When did you decide to raise some funds?

Stephen Schwarzman: Well, at the beginning we had a plan. This is a piece of advice for you if you ever do something, just don't do what everybody else is doing and think it's wonderful because you're doing it. The world couldn't care less actually. You care. You think you're wonderful. The world doesn't care if you're in an area that's being well serviced.

So, what we did is we sat around and said, okay, we're going to start a business. Let's start something unique.

And that's our distinctive thing.

So, you know, we looked at a three-part plan. First, go into the M&A advisory business. Why? We knew it. It requires no capital. Second, we wanted to go into what was then called the LBO business, which is the private equity business. That was the best business on the planet, except investing in Google in the first round. And, you know, I had advised several of the firms that existed in private equity. There were only several of them. And nobody wanted to even underwrite them. I had to get special dispensation to do underwritings for some of these guys because they thought they were, like, nothing.

And the third piece of what we wanted to do was to wait for periodic changes in finance and if there was something that was happening that was like an amazing opportunity that we wanted to do that, we decided we'd only do it in two circumstances. The first is if we could hire somebody who was a ten out of ten because then we'd know we would crush it because we wouldn't know that field. And the second is if that business generated intellectual capital so it made our existing businesses much stronger. If it didn't meet those two tests, we wouldn't do it.

And so, we took that strategic plan, and we mailed it to everybody. And nobody gave it. You know, it was amazing. And I thought it was a really good plan.

By the way, it's 34 years later--

David Solomon: It was a really good plan.

Stephen Schwarzman: We're still doing the same plan.

David Solomon: Was a really good plan.

Stephen Schwarzman: We've never changed. We just are executing the same thing. And we wait around until there's something really neat. So good even I can't screw it up. So, you have to pass up little things and only do really, really big things.

So, that was our plan. And, you know, it ends up now, you know, they have different names for this. Intellectual capital production. This is like data. We've been doing this since 1985 because knowledge is power in finance. Everybody thinks the same more or less. You all test well.

You all go to good schools. You all get well trained. So, how do you win the game? You have to have knowledge other people don't have. And to do that you have to produce that knowledge. And then you have to figure out how do the pieces fit? How do you see something in one area that tells you what's going to happen in another area?

And if you have that and you can mine that, and now they have names for this, data mining. Okay. It's just information and seeing patterns, which lead you to other opportunities.

David Solomon: Let shift gears and talk about the macro, a little bit. What's going on in the world. You've been a key advisor to presidents of both parties, including the current one. You have enormous ties to China over a long, long period of time. And so, you've also had an impact on these conversations. Talk a little bit about trade, about the US/China relationship. You know, give some insight into how you see that unfolding in the years ahead.

Stephen Schwarzman: Yeah, sure. I've been in the middle of a lot of the China stuff over the last two and a half years. It started with a conversation with President Xi

which is really pretty amazing. We were at Davos and there were 17 Chinese officials on one side of the table and 17 non-Chinese officials. It was a lunch. And so, I'm just sitting next to Klaus Schwab. So, President Xi looks at me and he says, "Mr. Schwarzman, tell me what's happening with the new government in the United States," which hadn't started yet. It was starting two days later.

And I said, "Well, we've got a surprise election. You know, the person who won wasn't expected to win." And he said, "Why did he win?" I said, "Because we have an unhappy country, and they wanted a change. And one of the areas of unhappiness is, you know, people's incomes and the jobs leaving the United States and diminished wealth for, you know, probably as much as 40 percent of the population. And they're unhappy. And they've become populous. And they wanted to change the US politically. But they also want what happens with populism, it has nothing to do with the United States, they get angry and when they get angry at domestic people like they have, the business community, wealthy people, financial people, doesn't solve their problem. So, then they get angry at somebody who is a foreigner." And I said, "They're going to get angry at you because you're where the wealth has gone. You're where

the jobs have gone. And, you know, you're going to have to change what you're doing."

And so, we had this discussion in front of, you know, like 34 people of-- I said, "Here's what you've got to change." And I figured I'm just being helpful. And I said, "Don't be misled that this has anything to do with Donald Trump. This has to do with unhappy people in America."

David Solomon: Broadly.

Stephen Schwarzman: And I said, "At some point he won't be president. But that doesn't matter." I said, "You're going to be facing a next president who's going to be carrying the same burden from our population. And he's going to want China to open. You know, do something on intellectual property. All the normal types of things." So, it was fascinating.

He said, "You know, I didn't know all of these things." I said, "Well, we didn't know either before this election. Everybody thought something different about the foundations of America. And now we've learned that's not where America was going." And I said, "Don't blame your

own people for not knowing. Every pollster in America was wrong. Right? So, you know, you're getting it right now from me because I know it."

And he said, "Well, if that's the case, we are going to have to make some significant economic adjustments in our country." And then he asked me to call the new president and tell him what he said and that kind of stuff.

So, this started me on some incredible adventure. You know, I was just, like, minding my own business. I was a person at a dinner. A lunch, rather. So, these discussions have been going on. And, of course, in China, they have, you know, sort of hardliners who don't like to change anything because why not? They were growing at that time, like, at 9 - 10 percent. And we were growing at 1.8. So, if you're growing at 5X somebody else, why would you change?

And then you had the reformers who knew they would have to change. So, it's been a bunch of false starts and so forth. How much opening and how fast? The US keeps changing its views. The Chinese keep changing their views. You know, I've been like in the middle of this thing.

You think you're almost there and then one of the two sides pulls away. It's like, you know, deals we've all done. This one's just, unfortunately, visible to the entire world. And it affects markets and other things. And I think it's inevitable that there's going to be change X-technology and there'll be a trade deal. There probably could be one relatively soon on this first tranche and I think there's good faith that there will be a second tranche.

David Solomon: Well, it'll be interesting to see because the changes are real. And it's going to be a process. It's going to be a continuing process for a number of years.

Stephen Schwarzman: Yes.

David Solomon: It's going to be more a part of the fabric of how we think about what's going on day to day.

Stephen Schwarzman: One piece of advice for you all. It comes not just from this situation but from others that we've all worked on, we the older people. Not old. Older. That when there's something that's doable, you usually should hit it. Because the time, time wounds all deals. And

so, the deal that ultimately will be made, you know, isn't as easy for some of the participants as the deal you could have made a year and a half ago.

And, you know, you learn this in your career that there are certain times where, you know, if you're able to, you should just bang it and get it done. It's like a bond deal in a market, which I learned, you know, that's falling apart, you don't price the bond, you know, right where it would trade that second because by the time you get back from the pricing committee, it's already 25 basis points down. Price at 25 basis points ahead. You'll get the deal done. If you go back again when it's 25 points down, you're going to need another 25.

David Solomon: Yeah. So, just to wrap up, I'm going to do a quick lightning round. Okay?

Stephen Schwarzman: Okay.

David Solomon: Handful of quick questions, quick answers. Leader you most admire?

Stephen Schwarzman: Jack Welch.

David Solomon: The thing we'd be most surprised to learn about you.

Stephen Schwarzman: Geez. I can't even tell you. There are so many of them.

David Solomon: Tell us one.

Stephen Schwarzman: I like to collect Egyptian artifacts.

David Solomon: That's a good one. The last great book you read other than your own?

Stephen Schwarzman: I did that 20 times. Drafts. I read a book. I forget the name of it. I think it's called *Accidental Presidents* and it's a book about the eight vice presidents who accidentally became presidents.

And it's fascinating because some of these people are, like, compromised candidates who the presidents don't even like. Some of them, they don't even share a political philosophy. And you know, some of these presidents have

died within a few weeks of getting their job. So, you actually had a person who really wasn't elected in the same way prosecuting a completely different agenda. Some of which have changed the course of the United States in a very positive way.

David Solomon: Steve, thank you. Really appreciate you spending the time with us.

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